Vendor spend review

To: group CEO and CFO **From:** Chaitanya Laxman, VP Operations, the acquired business **Date:** November 11, 2026

Subject: Vendor review: $2,229,000 a year in savings, $1,209,000 of it in year 1

Bottom line. 386 vendors, $7,887,000 of accounts-payable spend over 12 months: the base case saves $2,229,000 a year, $1,209,000 of it in year 1. The high case, $3,097,000, needs every decision and negotiation at the top of its range.

Context. Salesforce is $3,117,000, 40% of spend, because our product runs on its platform.

Move	Per year	Year 1	What it needs
Exit the offices under a remote operating model	$669,000	$335,000	Your decision; notices
Back-office services to the group's shared functions	$653,000	$359,000	Your decisions; handovers
Renegotiate the Salesforce platform agreement	$515,000	$257,000	Contract and usage data
Second wave: travel, software, cloud, telecom, marketing	$392,000	$258,000	Our own vendor action
Total	**$2,229,000**	**$1,209,000**	

Decisions needed

- A remote operating model, keeping one hub space: $448,000 a year more than one flexible provider and trimmed office costs.
- Group shared functions for audit, hiring, legal, payroll, insurance and finance systems: $455,000 a year more than tenders, re-broking and seat reviews.
- Both by December 15, 2026, so notices go out in the first quarter; each month's delay costs $75,000.
- Salesforce needs no decision, only the contract, usage data and group procurement at the table.

Plan

- 0 to 30 days: collect contracts, notice dates, Salesforce usage data; Finance confirms the 67 vendors not verified online.
- 30 to 90 days: serve office notices, open the Salesforce and insurance negotiations, put the travel and expense policy in place.
- 90 to 180 days: exit the offices, move hiring and legal work to the group, consolidate software.
- 6 to 12 months: move the audit and the HR and finance systems at year-end.
- One owner per move, a weekly tracker, savings counted when contracts change.

Risks

- Platform dependency: the product runs on Salesforce, so we negotiate terms, never exit.
- Retention of the Zagreb engineers: contractors and the office change at once; benefits and a hub space stay.
- Notice periods and exit costs are unknown; the office figure assumes half a year.
- $171,000 of mandated fees, statutory payments, benefit schemes and a contingent-fee adviser must stay.

Not counted: $274,000 of deal and one-off costs that fall away on their own, and people-linked spend that moves only with the workforce plan.

Scale. $2,229,000 a year is 28% of this business's third-party spend and falls straight to operating profit; the saving rate outside the Salesforce platform is 38%, and the same review repeats on every acquisition.